

MOTOROLA SOLUTIONS INC MSI

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by [byronval](#)

			2026	2027
Price:	389.44	EPS	16.98	18.53
Shares Out. (in M):	166	P/E	22.94	21.02
Market Cap (in \$M):	64,647	P/FCF	23.70	20.24
Net Debt (in \$M):	8,079	EBIT	0	0
TEV (in \$M):	72,726	TEV/EBIT	0	0

Description

Motorola Solutions (MSI) was last written up in [2022 by Shoe](#). The business has undergone some change but the core value proposition remains approximately the same: MSI is a GARP name that, despite a ~\$65bn market cap, seems underappreciated and underfollowed. The business has been unfairly punished over the last 6 months – we believe the declines are mostly related to “SaaS-pocalypse” starting in ~February 2026 and a Q1 earnings report that effectively failed to beat by a magnitude that investors have generally come to expect (i.e., missed buyside consensus).

At ~23x forward earnings this sits a bit in the grey-zone. It’s too expensive and large for the quintessential value crowd but isn’t a quality-at-almost-any-price high-flyer. Our view, however, is that today you’re buying a business growing ~10% topline with a credible margin expansion story that’s deeply entrenched into secularly growing end markets; first responder communication networks and localized defense end markets are increasingly the target of additional capital allocation. As MSI moves further into the first-response backbone and local/state/national defense, we expect that current growth estimates may be underappreciated, while the growth investment and M&A machines are disguising the cash generation ability of the current operations if the company were to curtail its exploration of new markets / opportunities.

What Does the Business Do?

MSI reports two segments with very different dynamics but similar first-responder communication moats:

Products & Systems Integration (P&SI)—\$7.25bn of revenue in 2025 (62% of total). The segment grew 5% organically and had a 28.9% non-GAAP operating margin. This is the land mobile radio business (the P25 and TETRA networks and the radios that run on them) plus Avigilon video security. There aren’t any meaningful substitutes for these products. The LMR (Land Mobile Radio) network is the spine of how first responders talk to each other, the procurement cycles run years, and the systems are certified and budgeted at the state and county level which leads to enormous switching costs. When natural disasters happen, or you’re a first-responder 3 floors underground, for example, you can’t rely on cellular networks. Motorola dominates the market with ~70%+ share.

Software & Services (S&S)—\$4.43bn of revenue in 2025 (38% of total). The segment grew 13% organically with a 32.5% non-GAAP margin. Management has explicitly noted this as a proxy for recurring revenue (when an analyst asked what percentage recurs, the CFO’s answer was essentially “all of it”). The segment contains the Command Center software, the LMR services, and the cloud video business. In Q1 2026 S&S grew 18% at a 34.2% margin while P&SI grew 1%. The mix has been shifting toward this higher-margin, faster-growing, and stickier part of the company. There’s a “crossing lines” story here where the S&S piece of the business eventually comes to dominate the company’s topline and profitability, but it’s not clear that the market is really giving enough credit for that eventuality. Given the stigma around software today, perhaps this is even viewed as a detriment; we view the current software sentiment as a positive for a serial acquiror such as MSI, given that the company’s pipeline to redeploy FCF should look incrementally attractive.

Consolidated, 2025 revenue was +8% to \$11.68bn, a non-GAAP operating margin of 30.3% and free cash flow of \$2.6bn. MSI posted a record backlog of \$15.7bn and contracted RPO of \$9.5bn of which \$4.1bn lands within twelve months. The 2026 guide as of Q1 is for ~\$12.8bn of revenue, \$16.87–16.99 of non-GAAP EPS, about \$3bn of operating cash flow, and another 100bps of non-GAAP margin expansion in each of its segments (that’s after eating ~\$60mm of tariff headwinds and a memory-cost line that management expects to more than double this year).

Q1 2026 results and the Q2 2026 guide were both in-line – the market reacted negatively to this, given investors expect the company to beat and raise every quarter.

What Is The Setup?

MSI spent \$970mm on R&D in 2025, up from \$917mm in 2024, \$858mm in 2023, and \$779mm in 2022, growing around 7% a year. About 40% of the company’s ~23,000 employees sit in R&D and engineering. Capex, separately, was \$265mm or 2.3% of sales.

We believe that one of the key misunderstandings around the true earnings power of MSI is the R&D and capex burden, which is primarily a driver for growth. Given the deep roots in literally mission-critical software (which almost can’t be depreciated in any reasonable time frame), the business should be a cash cow. There’s clearly a need to support the current hardware and software, but it’s probably also fair

to suggest that 50% of R&D and >50% of capex could go away and MSI would continue with the inertia it has today without much trouble.

On the Q1 call, when asked about Silvus, the CEO said they're putting "more coals on the fire on R&D for differentiation and technology refresh." The COO shortly after walked through exactly what the R&D dollars (much associated with Silvus) are buying: spectrum-dominant MANET software, a size-weight-and-power reduction program that just produced the StreamCaster 5200, and a spectrum-sensing capability aimed squarely at the counter-drone market. None of that is maintenance required to keep the radios already in the field working or servicing the current install base of first-responder software. It's the company building new things to sell into growing end-markets. In addition, other items that fit in this growth bucket are the AI "Assist" suite, the next-generation 911 platform, the Alta cloud-video product that's opening entirely new verticals like retail and healthcare.

Valuation

On an inertia basis, it seems more likely that you're buying the company at a mid- to low-teens multiple ~3-5 years out. Despite the increased R&D spend, M&A integration, and new product investment, MSI continues to expand margin and is forecasting another ~100bps this year. Backing out ~\$640mm in "excess" R&D and capex, operating cash flow would be something more like ~\$3.7bn. Net of ~\$569mm in cash taxes, \$285mm cash interest, and \$120mm in maintenance capex (1% of sales, which is probably still too high), that leaves us with ~\$2.7bn in normalized LFCF, and implies ~23x LFCF today.

Given the company is organically growing at 9-10% (based on recent guidance in JPM and BAML conferences), it's probably fair to consider that even with major cuts to R&D and capex, the company could grow organically ~5%+ the next ~5 years, which leaves us with ~\$16bn in sales. Holding 30% non-GAAP margins constant and bridging to LFCF, our estimate results in something like a trading price of 14x 5-year forward LFCF / share today. We're sympathetic to the idea that 5 years is a long time and a lot could happen, but the growth and margin assumptions here are already quite conservative (50% of current organic growth, 0 operating leverage), and MSI's moat to us seems quite a stronghold. Given the M&A opportunity, it's very possible that growth in the business comes in materially higher without commensurate cost burden.

Looking at it another way, the ~\$650mm in cost savings from R&D and capex that could be eliminated in short order capitalized at ~20x (a bit short of the current P/E multiple) implies another \$13bn of value, or +20% from today's price. That's also ex-growth.

Risks

The key risks here seem to be the ones on the surface. Buying a company at >20x means that you need to be reasonably correct on durability and growth assumptions; we think the assumptions here are fairly conservative and suggest you get your money back in most states of the world.

MSI has been a serial acquiror, and just purchased a business, D-Fend, for \$1.5bn, which does counter-drone technology; we're not taking a strong view in either direction, but historically MSI seems to have made smart acquisitions with real value propositions that continue to imbed them in the first response ecosystem; if it's a bad acquisition, at least the company isn't betting the farm (it's ~50% of 1 year's FCF, so even if a mistake you're probably fine).

MSI also deals with governments and always carries stroke-of-the-pen risk, which is always safe to ignore until it suddenly isn't (e.g. DOGE).

Cost inflation has been a headwind, but that seems temporary—it's easy enough for us to imagine MSI recovering through price over time.

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Catalyst

Catalysts

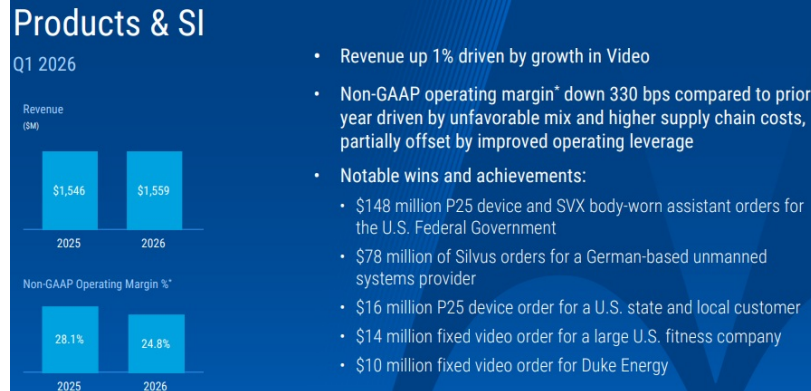
Admittedly, there's no amazing catalyst here, which is perhaps part of why MSI is perpetually underloved. Earnings and M&A are the evergreen ones. In our view, consistent FCF generation and crossing lines stories often heat slowly but can reliably boil for a long time.

Messages

Subject Products
Entry 06/24/2026 12:14 AM
Member gtwt

Thanks, love the business as well.

How long do you expect the soft patch of the (post) upgrade cycle / tough comps to last in Products?



Subject I agree but...
Entry 06/24/2026 03:28 PM
Member RugPull1995

I own and like the stock. But I think this is just one of those stocks that is "AI agnostic" and if you really squint your eyes maybe its threatened by AI since it has some software. So it is one of those stocks that just will struggle to work due to fund flows if the SOXX keeps going up circa. 20% every month or something silly.

Not a knock, as I said I own it, but something folks should be aware of who look at this name. MSI could easily accelerate eps growth to high teens or even 20% in back half of this year and see nobody care.

Yours,

RugPull1995

Subject Competition
Entry 07/08/2026 05:38 PM
Member Wells

Thanks, byronval, enjoyed reading. Any thoughts on how the competitive landscape evolves from here?

Admittedly I'm maybe two years stale on MSI, but from afar it looks like the competitive intensity they're up against is increasing, or at least far more daunting in their most promising growth opportunities than in the sticky LMR market with their majority legacy share. In June 2026 investor pres, management highlights ~15% 2026 CAGR in "Command Center" and 10-11% in "Video Security & Access Control"... how do you calibrate that against potentially rising competition from Axon, Flock Safety, Verkada, etc in real-time crime center, automated officer workflows, computer vision on cloud archive, etc?

Also appreciate your "grey-zone" framing around MSI trading well above undeniably cheap value territory but below the bar to earn premium multiple from the growthier crowd given 8% LTM / 7% MRQ growth. And to your point on ability to trim \$650M "excess" R&D/CapEx, imagine that is certainly possible but then probably trades off some of the growth prospects that would earn a higher multiple anyways.

Again, not up to speed on this one but curious to hear your take on the competitive setup and any further digging there that gets you comfortable on that front.